

IN 2024, microfinance lenders faced considerable challenges stemming from rising delinquencies. The situation was primarily driven by borrowers acquiring multiple loans from different institutions. Increasing financial distress among those at the bottom of the pyramid further worsened the situation for the lenders. These factors contributed to increased provisioning requirements and a deceleration in credit growth. Despite these challenges, some microfinance lenders, such as Ujjivan Small Finance Bank, have successfully navigated the storm with relative ease.

Thus, for the second year in a row, the Bengaluru-headquartered Ujjivan Small Finance Bank has emerged as the winner in the small finance bank category in the BT-KPMG Survey of India's Best Banks and NBFCs. Its MD & CEO Sanjeev Nautiyal attributes the bank's success to a combination of factors, such as robust business performance, improved recoveries, reduced credit costs, and effective cost management.

"Over the last two years, the bank expanded its footprint by opening 178 new branches, taking the total to 752. Also, it has introduced innovative products like micro-mortgages, gold loans, and vehicle finance. These initiatives have laid a solid foundation for future growth," says Nautiyal, who took over in May 2024.

The bank plans to focus on consolidating its gains through asset quality management, cost optimisation, and profitability enhancement.

Ujjivan's growth narrative is supported by its strategic shift towards secured lending products. As of September 2024, the

BEST SMALL
FINANCE BANK
**UJJIVAN SMALL
FINANCE BANK**

Sanjeev Nautiyal, MD & CEO, Ujjivan Small Finance Bank, attributes the lender's success to robust business performance and improved recoveries

LITTLE MASTER

For the second consecutive year, Ujjivan has won the Best Small Finance Bank award for its resilience in navigating sector stress

BY RAHUL OBEROI

